DTB DIAMOND TRUST BANK

Achieve More

The Board of Directors of Diamond Trust Bank Kenya Limited is pleased to announce the unaudited Group and Bank results for the six months period ended 30 June2020.

STATEMENT OF FINANCIAL POSITION

	GROUP				BANK			
	Jun. 2020 Shs 000 Unaudited	Mar. 2020 Shs 000 Unaudited	Dec. 2019 Shs 000 Audited	Jun. 2019 Shs 000 Unaudited	Jun. 2020 Shs 000 Unaudited	Mar. 2020 Shs 000 Unaudited	Dec. 2019 Shs 000 Audited	Jun. 2019 Shs 000 Unaudited
ASSETS								
Cash (both local and foreign)	6,855,698	7,070,057	8,193,800	7,170,328	4,365,071	4,305,979	5,233,608	4,749,326
Balances due from Central Banks	17,594,813	21,579,049	19,025,103	26,198,495	8,179,917	14,820,454	13,004,770	19,057,012
Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
Investment Securities:								
(a) Held to Maturity:								
a. Kenya Government securities	98,905,810	94,115,367	97,564,656	88,968,521	98,905,810	94,115,367	97,564,656	88,968,521
b. Other securities	20,504,025	20,970,150	21,736,467	19,474,071	-	-	-	-
(b) At Fair Value:								
a. Kenya Government securities	-	304,215	615,493	500,000	-	304,215	615,493	500,000
b. Other securities	13,117,114	12,776,318	12,545,373	11,782,007	1,513,048	1,513,048	1,513,048	1,797,617
Deposits and balances due from local banking institutions	142,364	350,169	65,258	54,354	142,364	350,169	65,258	54,354
Deposits and balances due from banking institutions abroad	9,987,596	8,283,178	8,255,273	11,261,456	1,360,716	1,328,172	1,492,042	1,397,584
Income tax recoverable	1,509,090	172,957	851,554	1,904,758	736,349	-	140,488	999,652
Loans and advances to customers (net)	201,455,170	201,269,373	199,089,371	190,777,859	151,604,796	151,990,082	149,501,314	144,797,740
Balances due from group companies	-	-	-	-	-	-	-	-
Investments in associate	59,651	55,065	66,632	124,814	1	1	1	1
Investment in subsidiary companies	-	-	-	-	5,752,700	5,752,700	5,752,700	5,802,700
Investments in joint ventures	-	-	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-	-	-
Property and equipment	6,037,639	5,903,105	6,030,321	6,311,971	4,463,061	4,356,791	4,602,783	4,600,177
Right of use asset	3,243,761	3,293,627	3,430,300	4,500,700	1,826,148	1,856,296	1,919,046	2,730,707
Intangible assets	1,052,049	1,358,097	1,421,566	1,137,776	790,697	1,079,034	1,114,729	922,139
Goodwill	173,372	173,372	173,372	173,372	-	-	-	-
Deferred tax asset	4,581,420	4,758,458	4,726,025	3,301,296	2,974,121	3,297,177	3,297,177	2,372,988
Retirement benefit asset	-	-	-	-	-	-	-	-
Other assets	3,034,645	2,544,940	2,439,622	2,287,904	1,704,271	1,293,705	1,433,482	1,365,236
Total Assets	388,254,217	384,977,497	386,230,186	375,929,682	284,319,070	286,363,190	287,250,595	280,115,753
LIABILITIES								
Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
Customer deposits	280,369,955	272,804,970	280,186,953	283,065,287	195,329,806	191,444,066	199,489,226	205,023,293
Deposits and balances due to local banking institutions	10,396,053	17,989,979	17,151,756	4,378,729	10,396,053	17,989,979	17,151,756	4,378,729
Deposits and balances due to banking institutions abroad	5,283,942	5,356,853	5,302,103	4,318,506	4,059,300	5,017,960	4,397,392	4,032,961
Other money market deposits	-	-	-	-	-	-	-	-
Borrowed funds	17,057,485	15,064,574	11,356,847	13,203,644	15,585,673	13,637,911	9,741,233	11,072,505
Lease liability	3,637,288	2,448,450	4,237,765	4,569,623	2,534,200	2,547,280	2,576,389	2,859,586
Tax payable	6,742	12,774	-	3,419	-	610,841	-	-
Dividends payable	-	-	-	-	-	-	-	-
Deferred income tax liability	4,599	4,616	-	15,558	-	-	-	-
Retirement benefit liability	-	-	-	-	-	-	-	-
Other liabilities	4,371,660	4,404,519	3,479,417	3,869,828	2,788,443	1,509,155	1,893,221	2,399,171
Total Liabilities	321,127,724	318,086,735	321,714,841	313,424,594	230,693,475	232,757,192	235,249,217	229,766,245
SHAREHOLDERS' EQUITY								
Paid up capital	1,118,409	1,118,409	1,118,409	1,118,409	1,118,409	1,118,409	1,118,409	1,118,409
Share premium	9,006,569	9,006,569	9,006,569	9,006,569	9,006,569	9,006,569	9,006,569	9,006,569
Revaluation reserve	(5,051)	(278,566)	(575,082)	(638)	964,951	964,951	964,951	1,328,408
Retained earnings	49,440,149	49,119,329	47,483,370	45,930,211	42,535,666	41,761,143	40,156,523	38,896,122
Statutory loan loss reserve	1,470,940	1,300,665	1,062,649	886,495	-	-	-	-
Proposed dividends	-	754,926	754,926	-	-	754,926	754,926	-
Capital grants	-	-	-	-	-	-	-	-
Total Shareholders' Equity	61,031,016	61,021,332	58,850,841	56,941,046	53,625,595	53,605,998	52,001,378	50,349,508
Non controlling interests	6,095,477	5,869,430	5,664,504	5,564,042	-	-	-	-
Total Equity	67,126,493	66,890,762	64,515,345	62,505,088	53,625,595	53,605,998	52,001,378	50,349,508
Total Liabilities and Shareholders' Equity	388,254,217	384,977,497	386,230,186	375,929,682	284,319,070	286,363,190	287,250,595	280,115,753

OTHER DISCLOSURES

(1) NON -PERFORMING LOANS AND ADVANCES								
(a) Gross non-performing loans and advances	17,542,022	16,615,606	15,914,586	15,119,006	13,886,394	13,316,264	12,891,650	11,248,354
(b) Interest in suspense	2,804,088	2,532,342	2,309,865	2,255,515	2,593,112	2,346,071	2,139,442	1,940,613
(c) Total non-performing loans and advances (a-b)	14,737,934	14,083,264	13,604,721	12,863,491	11,293,282	10,970,193	10,752,208	9,307,741
(d) Loan loss provisions	6,179,662	4,509,906	4,517,413	5,350,843	4,877,145	3,679,370	3,665,927	4,246,151
(e) Net non-performing loans (c-d)	8,558,272	9,573,358	9,087,308	7,512,648	6,416,137	7,290,823	7,086,281	5,061,590
(f) Discounted value of securities	8,558,272	9,573,358	9,087,308	7,512,648	6,416,137	7,290,823	7,086,281	5,061,590
(g) Net NPLs exposure (e-f)	-	-	-	-	-	-	-	-
(2) INSIDER LOANS AND ADVANCES								
(a) Directors, shareholders and associates	3,340,197	3,309,637	2,633,103	2,987,748	2,397,239	2,396,319	2,289,837	2,227,256
(b) Employees	1,533,885	1,542,086	1,665,508	1,451,588	1,390,124	1,407,526	1,378,539	1,318,815
(c) Total insider loans and advances	4,874,082	4,851,723	4,298,611	4,439,336	3,787,363	3,803,845	3,668,376	3,546,071
(3) OFF-BALANCE SHEET ITEMS								
(a) Letters of credit, guarantees, acceptances	56,511,987	56,297,601	53,498,727	43,735,722	48,132,000	48,043,135	46,498,651	37,611,356
(b) Forwards, swaps, and options	25,609,659	21,279,129	16,663,940	18,000,327	23,063,483	15,953,770	12,930,582	14,459,224
(c) Other contingent liabilities	-	-	-	-	-	-	-	-
(d) Total contingent liabilities	82,121,646	77,576,730	70,162,667	61,736,049	71,195,483	63,996,905	59,429,233	52,070,580
(4) CAPITAL STRENGTH								
(a) Core capital					45,682,882	45,347,208	44,555,022	41,612,741
(b) Minimum statutory capital					1,000,000	1,000,000	1,000,000	1,000,000
(c) Excess/(deficiency)					44,682,822	44,347,208	43,555,022	40,612,741
(d) Supplementary capital					4,125,940	4,211,278	4,352,281	4,802,972
(e) Total capital (a+d)					49,808,822	49,558,486	48,907,303	46,415,713
(f) Total risk weighted assets					237,008,084	235,549,379	233,853,549	220,398,294
(g) Core capital/total deposit liabilities					23.4%	23.7%	22.3%	20.3%
(h) Minimum statutory ratio					8.0%	8.0%	8.0%	8.0%
(i) Excess/(deficiency) (g-h)					15.4%	15.7%	14.3%	12.3%
(j) Core capital/total risk weighted assets					19.3%	19.3%	19.1%	18.9%
(k) Minimum statutory ratio					10.5%	10.5%	10.5%	10.5%
(l) Excess/(deficiency) (j-k)					8.8%	8.8%	8.6%	8.4%
(m) Total capital/total risk weighted assets					21.0%	21.0%	20.9%	21.1%
(n) Minimum statutory ratio					14.5%	14.5%	14.5%	14.5%
(o) Excess/(deficiency) (m-n)					6.5%	6.5%	6.4%	6.6%
(p) Adjusted core capital/total deposit liabilities*					24.2%	24.6%	23.3%	21.4%
(q) Adjusted core capital/total risk weighted assets*					19.7%	19.7%	19.9%	19.6%
(r) Adjusted total capital/total risk weighted assets*					21.4%	21.5%	21.8%	21.8%
(5) LIQUIDITY								
(a) Liquidity ratio					54.4%	54.7%	54.8%	54.3%
(b) Minimum statutory ratio					20.0%	20.0%	20.0%	20.0%
(c) Excess/(deficiency) (a-b)					34.4%	34.7%	34.8%	34.3%

* The adjusted Capital Ratios include the expected credit loss provisions added back to Capital in line with the CBK Guidance Note issued in April 2018 on implementation of IFRS 9

STATEMENT OF COMPREHENSIVE INCOME

	GROUP				BANK			
	Jun. 2020 Shs 000 Unaudited	Mar. 2020 Shs 000 Unaudited	Dec. 2019 Shs 000 Audited	Jun. 2019 Shs 000 Unaudited	Jun. 2020 Shs 000 Unaudited	Mar. 2020 Shs 000 Unaudited	Dec. 2019 Shs 000 Audited	Jun. 2019 Shs 000 Unaudited
INTEREST INCOME								
Loans and advances	9,572,084	4,820,281	19,953,866	9,903,523	6,893,144	3,499,162	14,795,260	7,431,367
Government securities	6,175,570	3,107,499	12,498,862	6,273,859	4,615,333	2,315,636	9,500,476	4,805,691
Deposits and placements with banking institutions	60,013	26,445	398,385	166,422	6,392	2,441	159,528	49,137
Other interest income	-	-	-	-	-	-	-	-
Total interest income	15,807,667	7,954,225	32,851,113	16,343,804	11,514,869	5,817,239	24,455,264	12,286,195
INTEREST EXPENSES								
Customer deposits	5,560,912	2,790,836	12,136,834	6,071,562	4,484,496	2,254,637	10,073,158	5,084,140
Deposits and placements from banking institutions	357,044	191,354	635,891	394,576	296,142	162,644	601,748	291,951
Other interest expenses	595,013	298,336	1,367,417	689,965	490,452	249,261	1,031,773	543,392
Total interest expenses	6,512,969	3,280,526	14,140,142	7,156,103	5,271,090	2,666,542	11,706,679	5,919,483
NET INTEREST INCOME	9,294,698	4,673,699	18,710,971	9,187,701	6,243,779	3,150,697	12,748,585	6,366,712
OTHER OPERATING INCOME								
Fees and commissions on loans and advances	741,929	380,151	1,339,301	597,300	549,520	281,847	977,785	439,633
Other fees and commissions income	853,590	507,662	2,042,164	1,053,910	338,069	198,146	901,871	485,169
Foreign exchange trading income	1,283,274	558,744	1,830,399	996,933	955,640	400,216	1,139,278	581,386
Dividend income	-	-	-	-	500,000	-	65,806	65,806
Other income	273,012	144,427	535,480	328,799	111,459	35,983	131,096	70,221
Total Non-Interest Income	3,151,805	1,590,984	5,747,344	2,976,942	2,454,688	916,192	3,215,836	1,642,215
TOTAL OPERATING INCOME	12,446,503	6,264,683	24,458,315	12,164,643	8,698,467	4,066,889	15,964,421	8,008,927
OPERATING EXPENSES								
Loan loss provision	1,865,552	408,093	1,323,010	534,192	1,310,554	185,356	(12,346)	(101,105)
Staff costs	2,371,265	1,196,158	4,669,986	2,219,767	1,377,117	703,385	2,719,604	1,342,247
Directors' emoluments	92,106	43,912	178,603	109,179	65,511	30,946	127,033	66,739
Rentals charges	201,685	49,830	581,654	80,735	70,765	36,835	150,241	40,784
Depreciation charge on property and equipment	725,075	361,124	1,498,754	811,268	361,059	179,807	730,103	402,274
Amortisation charges	438,367	87,846	581,496	146,440	370,354	51,681	474,520	96,844
Other operating expenses	2,279,729	1,169,358	4,391,381	2,323,889	1,166,124	519,141	2,495,961	1,215,942
Total operating expenses	7,973,779	3,316,321	13,224,884	6,225,470	4,471,482	1,707,151	6,685,116	3,063,725
Profit before tax and exceptional items	4,472,724	2,948,362	11,233,431	5,939,173	3,976,985	2,359,738	9,279,305	4,945,202
Exceptional items	-	-	-	-	-	-	-	-
Profit after exceptional items	4,472,724	2,948,362	11,233,431	5,939,173	3,976,985	2,359,738	9,279,305	4,945,202
Share of associate profit after tax	10,115	5,326	29,483	12,174	-	-	-	-
PROFIT BEFORE TAX	4,482,839	2,953,688	11,262,914	5,951,347	3,976,985	2,359,738	9,279,305	4,945,202
Current tax	(1,643,492)	(911,245)	(5,140,380)	(1,707,194)	(1,274,784)	(755,116)	(4,332,111)	(1,581,565)
Deferred tax charge	(216,735)	-	1,146,058	(111,785)	(323,056)	-	767,797	-
Profit after tax and exceptional items	2,622,612	2,042,443	7,268,592	4,132,368	2,379,145	1,604,622	5,714,991	3,363,637
Non controlling interests	220,915	131,511	482,989	248,338	-	-	-	-
Profit for the period after tax and non controlling interests	2,401,697	1,910,932	6,785,603	3,884,030	2,379,145	1,604,622	5,714,991	3,363,637
OTHER COMPREHENSIVE INCOME								
Gain/loss from translating the financial statements of foreign operations	673,779	306,981	(96,995)	129,337	-	-	-	-
Net gain/(loss)from changes in fair value of Treasury bills	99,547	37,137	(4,368)	52,870	-	-	-	-
Net loss from changes in fair value of equity investments	-	-	(334,569)	-	-	-	(334,569)	-
Income tax relating to these items	(29,864)	(11,141)	1,313	(15,861)	-	-	-	-
Other comprehensive income for the period net of tax	743,462	332,977	(434,619)	166,346	-	-	(334,569)	-
Total comprehensive income for the period	3,366,074	2,375,420	6,833,973	4,298,714	2,379,145	1,604,622	5,380,422	3,363,637
Earnings per Share (Shs per share) - basic and diluted	8.59	6.83	24.27	13.89	8.51	5.74	20.44	12.03
Dividend per Share (Shs per share)	-	-	2.70	-	-	-	2.70	-

MESSAGE FROM DIRECTORS

These financial statements are extracts from the books of the institution. These quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.dtbafrica.com. They may also be accessed at the institution's head office located at DTB Centre, Mombasa Road, Nairobi, Kenya.

INTERIM DIVIDENDS

In line with the practice adopted in recent years, the directors do not propose the payment of an interim dividend.

Linus Gitahi
CHAIRMAN

Nasim Devji
MANAGING DIRECTOR

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DTB Posts KSh4.5 Billion in Half Year Pre-Tax Profit

Diamond Trust Bank Kenya Limited (DTB) has posted KSh4.5 billion in group pre-tax profit for the first six months of 2020, marking a 25% decline from the previous year.

The reduced profit was largely the result of increased provisions, reflecting the prudent approach adopted by DTB in the midst of the prevailing higher credit risk environment following the COVID-19 pandemic.

DTB Group CEO and Managing Director Nasim Devji said: “Across the banking industry, we are operating in very tough times and share the hope that as a country we will soon be out of this crisis. At DTB, most of our customers are in the Small and Medium Enterprises segment and they are facing perhaps the toughest period they have ever gone through.”

“Our focus right now is to cater to the needs of our customers as they seek ways to keep their businesses operational until the situation improves. We also continue with efforts to protect our staff and other stakeholders and look forward to the business environment improving,” Ms Devji added.

The Bank’s total operating income increased by 2% to KSh12.4 billion in the period compared to KSh12.2 billion in June 2019. The non-funded income grew by 6% to KSh3.2 billion from KSh2.9 billion.

During this period, DTB’s non-branch transactions rose significantly to 87% up from 81% on a year-on-year comparison. This change was on account of the increased adoption of mobile and internet banking by the Bank’s customers.

Total Assets grew by 3% to KSh388.3 billion, funded by customer deposits and existing business growth. Net loans and advances grew 6% to close the period at KSh201.5 billion.

Shareholders’ equity grew 7% from KSh56.9 billion to KSh61.0 billion. This was driven by the growth in retained earnings over the 12-month period to June 2020.

The Group has strong capital and liquidity buffers which speaks to the Group’s inherent resilience. The Group’s core capital as a proportion of total risk weighted assets closed the period at 18.1% against the Central Bank of Kenya statutory minimum of 10.5%. Total capital to risk-weighted assets stood at 20.0% against a regulatory minimum of 14.5%. All banking subsidiaries met regulatory capital requirement.

DTB has rolled out a number of interventions to cushion customers and the wider community against the effects of the pandemic.

The interventions include: the restructuring of loans, expansion of credit lines, and the extension of loan tenures to enable the businesses remain operational. DTB has also waived fees associated with loan restructuring and those for mobile transactions.

The Bank restructured loans amounting to KSh64 billion since the outbreak of the pandemic. The restructured facilities represent 42% of DTB’s loan book. In this respect, earlier this month, the Bank

and the International Finance Corporation announced a financing agreement of US$ 50 million which the Bank will use towards funding its distressed borrowers following the COVID-19 pandemic.

DTB committed KSh100 million towards COVID-19 relief efforts. Of this, KSh50 million was handed over to the COVID-19 Emergency Response Fund. More than KSh14 million has gone towards the distribution of food to over 6,000 vulnerable families across the country, KSh5 million to feeding frontline workers at Kenyatta National and Mbagathi hospitals in partnership with Serena Hotels, and KSh5 million for the construction of a field hospital at Aga Khan University Nairobi.

Funds have also gone towards the construction of boreholes and water springs in Mombasa and Migori Counties, enabling children with special needs to continue learning, and procuring a digital solution to enable effective contact tracing and data management in Kisii County.

“We remain optimistic that the pandemic will soon be over even as we remain steadfast in supporting our customers and delivering value to all our stakeholders,” said Ms Devji.

About Diamond Trust Bank (DTB)

Diamond Trust Bank Kenya Limited (DTB) is a leading regional bank listed on the Nairobi Securities Exchange (NSE). An affiliate of the Aga Khan Development Network (AKDN), DTB has operated in East Africa for the past 75 years. DTB’s focus on the Small and Medium Enterprises sector and commitment to enhancing convenience for customers through innovative digital solutions has driven the Bank’s growth in recent years. DTB has been ranked among the top 100 banks and top 250 businesses in Africa. For more information, please e-mail mkt@dtbafrica.com.